21. Income Taxes

We file a consolidated federal income tax return. For financial reporting purposes, we recorded income tax benefit of $289.9, $381.3 million, $26.7 million and $15.3 million for the years ended December 31, 2009 and 2008, the Successor Period and the Predecessor Period, respectively.

21. Income Taxes (Continued)

The (benefit) provision for income taxes attributable to net (loss) income consists of the following (amounts in thousands):

	Successor			Predecessor
	Year Ended December 31, 2009	Year Ended December 31, 2008	Period from November 8, 2007 Through December 31, 2007	Period from January 1, 2007 Through November 7, 2007
Current	$ (1,217)	$ (585)	$ (8,768)	$ (8,399)
Deferred	(288,655)	(380,760)	(17,968)	(6,936)
Total income taxes	$ (289,872)	$ (381,345)	$ (26,736)	$ (15,335)

The income tax provision differs from that computed at the federal statutory corporate tax rate as follows:

	Successor			Predecessor
	Year Ended December 31, 2009	Year Ended December 31, 2008	Period from November 8, 2007 Through December 31, 2007	Period from January 1, 2007 Through November 7, 2007
Federal statutory rate	35.0%	35.0%	35.0%	35.0%
Valuation adjustment	(15.8)	(0.9)	—	—
Lobbying and political	—	—	—	(0.3)
Goodwill impairment	(3.0)	(23.5)	—	—
Reversal of reserves for unrecognized tax benefits	—	(0.1)	—	—
Credits earned, net	—	—	—	1.2
Nondeductible officers compensation	—	—	—	1.8
Nondeductible transaction costs	—	—	—	(10.8)
Vesting of Class B and Class C Units	(0.2)	(0.2)	(27.7)	—
Golden parachute	—	—	—	(5.3)
Restructuring costs	(1.2)	—	—	—
Other, net	(0.1)	0.1	—	(0.6)
Effective tax rate	14.7%	10.4%	7.3%	21.0%

We recorded $0, $2.0 million, $23.3 million, and $0 as increases to contributed capital for certain tax benefits from employee share-based compensation for the year ended December 31, 2009 and 2008, the Successor Period and the Predecessor Period, respectively. As part of the purchase accounting adjustment, $76.2 million of tax benefits from employee share-based compensation were recorded as a deferred tax asset related to net operating losses.

STATION CASINOS, INC.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (Continued)

21. Income Taxes (Continued)

The tax effects of significant temporary differences representing net deferred tax assets and liabilities are as follows (amounts in thousands):

	Successor December 31,	
	2009	2008
Deferred tax assets:		
Accrued vacation, bonuses and group insurance	$ 5,656	$ 6,066
Preopening and other costs, net of amortization	7,417	10,629
Accrued benefits	8,069	7,339
Comprehensive income adjustments	46	112
Net operating loss carryover	290,840	187,604
Financing arrangements	102,054	73,558
FICA credits	7,816	8,304
Minimum tax credit carryover	26,087	26,798
Other deferred tax assets	41,137	9,060
Valuation allowance	(343,714)	(32,277)
Total deferred tax assets	$ 145,408	$ 297,193
Deferred tax liabilities:		
Prepaid expenses and other	$ (16,805)	$ (18,358)
Temporary differences related to property and equipment	(173,539)	(421,024)
Goodwill	—	—
Long term debt (fair market value adjustment)	—	(73,152)
Intangibles	(74,044)	(185,113)
Total deferred tax liabilities	(264,388)	$ (697,647)
Net	$ (118,980)	$ (400,454)

At December 31, 2009, the Company had an Alternative Minimum Tax ("AMT") credit carryover of approximately $26.1 million. AMT credits are available to be carried forward indefinitely and may be utilized against regular U.S. corporate tax to the extent that they do not exceed computed AMT calculations. The Company expects to utilize all of its AMT credits.

At December 31, 2009, the Company had a general business credit ("GBC") carryover for U.S. federal income tax purposes of approximately $7.8 million. The GBC carryover will begin expiring in 2022. The accounting guidance for income taxes requires recognition of a future tax benefit to the extent that realization of such benefit is more likely than not. Otherwise a valuation allowance is applied. Based on the future reversal of existing temporary differences, the Company believes it will be unable to utilize the GBC carryover on a more likely than not basis and has recorded a full valuation allowance for this credit in the current year.

As of December 31, 2009, the Company has a tax net operating loss carryover of approximately $854.6 million that expires in 2027, 2028 and 2029. Management believes that the realization of a portion of this deferred tax asset is more likely than not based on the future reversal of existing temporary differences. At December 31, 2009 and December 31, 2008, a valuation allowance was established against the portion of net operating loss that is more likely than not unrealizable. We did not record a valuation

21. Income Taxes (Continued)

allowance at December 31, 2007 relating to recorded tax benefits because all benefits were more likely than not to be realized. At December 31, 2009, the Company has an income tax receivable of $18.7 million as a result of net operating loss carryback to the year 2006.

Station or our subsidiaries file income tax returns as prescribed by the laws of the jurisdictions in which we operate. We are no longer subject to U.S. federal tax examination for years before 2003.

Our total unrecognized tax benefits that, if recognized, would affect our effective tax rate were approximately $0.6 million at January 1, 2008 and $3.3 million at December 31, 2008. As of December 31, 2009, this amount was $0.7 million. The liability for unrecognized tax benefits was $8.9 million for the year ended December 31, 2008 and $10.3 million at December 31, 2009.

We recognize accrued interest and penalties related to our unrecognized tax benefits in income tax expense. As of January 1, 2008, we had $0.4 million accrued for the payment of interest. Our liability for the payment of interest on our unrecognized tax benefits increased to $1.4 million as of December 31, 2008. The liability was reduced to zero as of December 31, 2009 because the net operating losses exceed taxable income including the unrecognized tax benefits. We do not anticipate any penalty assessments associated with our liability for unrecognized tax benefits. In the next twelve months, the Company does not expect the liability for the unrecognized benefits to change significantly.

A summary of the changes in the gross amount of unrecognized tax benefit is shown below (in millions):

	Successor	
	December 31,	
	2009	2008
Balance at the beginning of the year	$ 8.9	$ 3.3
Additions based on tax positions related to the prior year	1.4	6.8
Reductions based on tax positions related to prior years	—	(0.3)
Additions based on tax positions related to the current year	—	0.2
Statute expirations	—	(1.1)
Balance at the end of the year	$ 10.3	$ 8.9